

NEPSE Stock Simulation Game

Key Points — Corrected Edition

Overview

A single-day (12.30PM to 3.30PM), 3-hour simulation of the Nepal Stock Exchange (NEPSE) for 48 student participants, each managing a virtual portfolio of Rs 10,00,000 (10 Lakh).

Winner Formula: Final Portfolio Value = (Market Value of Holdings) + (Cash Balance) – (Cash Penalty)

Stock Universe

28 stocks across 7 sectors, categorized into 4 market cap tiers:

- CAP 100 (Large Cap): EPBL, UCHL, SLNL, PLIL, GGIL, EPL
- CAP 200 (Mid-Large): HUBL, LCBL, HFL, ELAL, SGIL, HCIL, EHGL
- CAP 300 (Mid-Small): STBL, AFL, RFEL, HSPL, ARIL, NSWL, HGHL
- CAP 400 (Small Cap): NCL, UCL, GPHL, HFLL, SPIL, ATML, NHRL, STTL

The 7 sectors are: Commercial Banks, Finance, Hydropower, Life Insurance, Non-Life Insurance, Manufacturing, and Hotel & Tourism.

Share Availability

- 50% of each stock's shares reserved for bidding (Phase 1 + 2)
- 50% reserved for live trading sessions
- Unsold Phase 1 shares roll over to Phase 2; unsold bidding shares roll into trading

Phase 1 — Initial Bidding (12:30PM – 12:50 PM) (20 min)

- Bid 10–200 shares per stock, in multiples of 10
- Price range: Base price up to +-2% (NEPSE rule)
- Allocation by price priority; ties broken by timestamp
- Brokerage fee: 0.25% of transaction value
- Sector diversification requirement begins here

Phase 2 — Secondary Bidding (12:55PM – 1:15 PM) (20 min)

- Same rules as Phase 1, using original base prices (not adjusted)
- Only leftover shares from Phase 1 are available

- Promotional : Every participant must hold at least 1 share from each of the 7 sectors by the end of Phase 2 — or face penalty/disqualification

Price Adjustment Mechanism (1:15 PM – 1:20 PM, 5 mins)

Prices adjust based on subscription status after bidding:

- Bid more than available shares → Price increases by 4%
- If shares are bid (partially subscribed) → Price increases by 3%
- Not bid (no bids received) → Price remains the same`

Live Trading — 4 Sessions (1:20 PM – 3:20 PM, 2 hours (30 mins/session))

- Centralized order book with matching logic
- Circuit breakers limit extreme price swings during sessions
- All 50% trading-pool shares are available from Session 1 onward (no gradual release)
- News events trigger price adjustments between and during sessions

News Events & Price Impact

- Scheduled news announcements during all 4 trading sessions
- Price impact varies by market cap: Small-cap stocks (CAP 400) are more volatile; large-cap (CAP 100) less so
- Event types include: company-specific news, sector news, and sector merger announcements
 - Merger 1: Commercial Banks + Finance
 - Merger 2: Life Insurance + Non-Life Insurance

Transaction Costs

- Brokerage: 0.25% on all trades
- Cash Holding Penalty applies for excess idle cash (incentivizes deployment)

Information Visibility

- Public: Market prices, order book, leaderboard
- Private: Your own portfolio, bid history
- Hidden: Upcoming news, other participants' strategies

Compliance Rules & Penalties

- Mandatory: Minimum 1 share from each of the 7 sectors by end of Phase 2

- Sector diversification violation → penalty applied to final portfolio
- Serious rule violations → disqualification

Event Timeline Summary

Activity	Compressed Time Window	Duration
Registration & Setup	12:30 PM	-
Phase 1 Bidding	12:30 PM – 12:50 PM	20 mins
Payment & Settlement	12:50 PM – 12:55 PM	5 mins
Phase 2 Bidding	12:55 PM – 1:15 PM	20 mins
Price Adjustments	1:15 PM – 1:20 PM	5 mins
4 Live Trading Sessions	1:20 PM – 3:20 PM	2 hours (30 mins/session)
Final Valuation & Results Processing	3:20 PM – 3:30 PM	10 mins

NEPSE Stock Simulation Game

News Events — All Trading Sessions

4–5 News Events Per Session — Complete Scripts & Price Impacts

Master News Schedule — All Sessions

All 20 news events are listed below. Each announcement is followed by a price adjustment 10 minutes later (except Neutral/Analyst news).

Session	Time Window	News ID	Announcement	Adjust	Type	Sentiment
SESSION 1	1:20 PM – 1:50 PM	1.1	1:25 PM	1:35 PM	Company-Specific News	POSITIVE
		1.2	1:28 PM	1:38 PM	Company-Specific News	NEGATIVE
		1.3	1:32 PM	1:42 PM	Sector-Wide News	POSITIVE
		1.4	1:36 PM	1:46 PM	Company-Specific News	POSITIVE
		1.5	1:39 PM	1:49 PM	Company-Specific News	NEGATIVE

SESSI ON 2	1:50 PM – 2:20 PM	2.1	1:55 PM	2:05 PM	Company-Sp ecific News	POSITIV E
		2.2	1:58 PM	2:08 PM	Company-Sp ecific News	NEGATI VE
		2.3	2:02 PM	2:12 PM	Merger Announceme nt	SPECIA L
		2.5	2:06 PM	2:16 PM	Company-Sp ecific News	POSITIV E
		2.4	2:10 PM	No adjustme nt	Sector Reaction / Analyst Note	NEUTRA L
SESSI ON 3	2:20 PM – 2:50 PM	3.1	2:25 PM	2:35 PM	Merger Announceme nt	SPECIA L
		3.2	2:28 PM	2:38 PM	Company-Sp ecific News	NEGATI VE
		3.3	2:32 PM	2:42 PM	Company-Sp ecific News	POSITIV E

		3.4	2:36 PM	2:46 PM	Company-Specific News	POSITIVE
		3.5	2:39 PM	2:49 PM	Macroeconomic News	POSITIVE
SESSION 4	2:50 PM – 3:20 PM	4.1	2:55 PM	3:05 PM	Company-Specific News	NEGATIVE
		4.2	2:58 PM	3:08 PM	Macroeconomic News	POSITIVE
		4.3	3:02 PM	3:12 PM	Sector-Wide News	POSITIVE
		4.4	3:06 PM	3:16 PM	Company-Specific News	POSITIVE
		4.5	3:09 PM	3:19 PM	Sector-Wide News	POSITIVE

TRADING SESSION

1

10:45 AM – 11:30
AM

NEWS 1.1 POSITIVE	Company-Specific News	 Announced: 11:00 AM	 Adjusted: 11:10 AM
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BREAKING: EPBL ANNOUNCES MAJOR TECH UPGRADE

Everest Prime Bank Limited (EPBL) unveils Rs 500 crore digital banking transformation initiative. New mobile app, AI-powered customer service, and blockchain-based remittance services launching Q4 2026.

CEO states: "This positions EPBL as Nepal's most advanced digital bank, targeting millennial and Gen-Z customers."

Analysts upgrade rating to Strong Buy with revised price target of Rs 500.

Market Impact: POSITIVE for EPBL

 **PRICE
ADJUSTMENT (11:10
AM)**

- EPBL (CAP 100):
+3%

E.g. Rs 434.50 → Rs 447.54

NEWS 1.2 NEGATIVE	Company-Specific News	 Announced: 11:08 AM	 Adjusted: 11:18 AM
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HCIL PRODUCTION HALT DUE TO FACTORY FIRE

Himalayan Cement Industries Limited (HCIL) reports a major fire at its Hetauda plant early this morning. Plant operations have been suspended indefinitely pending safety inspection and damage assessment.

Estimated output loss: 40,000 MT of cement over the next 2 months.

Company says insurance claim is being filed; operations may resume within 6–8 weeks subject to regulatory clearance.

Analysts downgrade HCIL citing supply disruption and near-term revenue loss.

Market Impact: NEGATIVE for HCIL

 **PRICE ADJUSTMENT (11:18 AM)**

- HCIL (CAP 200): -5%

NEWS 1.3 POSITIVE	Sector-Wide News	 Announced: 11:15 AM	 Adjusted: 11:25 AM
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GOVERNMENT BOOSTS HYDROPOWER SECTOR

Ministry of Energy announces:

- 20% increase in power purchase rates
- Tax holidays extended by 3 years
- Fast-track approval for new projects

Nepal targets 5,000 MW additional capacity by 2028. - Energy Minister

Affected Companies: UCHL, RFEL, GPHL, HSPL
Market Impact: POSITIVE for entire Hydropower Sector

PRICE ADJUSTMENT (11:25 AM)

- UCHL (CAP 100): +3%
- RFEL (CAP 300): +8%
- GPHL (CAP 400): +10%
- HSPL (CAP 300): +8%

NEWS 1.4 POSITIVE	Company-Specific News	 Announced: 11:20 AM	 Adjusted: 11:30 AM
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SLNL WINS GOVERNMENT EMPLOYEE LIFE INSURANCE CONTRACT

SecureLife Nepal Limited (SLNL) has been awarded the exclusive government employee group life insurance contract covering 120,000 civil servants nationwide.

Contract Value: Rs 1,200 crore premium over 3 years

This represents the largest insurance contract in Nepal's history.

CEO Comments: "This cements SLNL as the market leader in group life insurance and ensures stable premium income for years ahead."

Market Impact: HIGHLY POSITIVE for SLNL

 **PRICE ADJUSTMENT (11:30 AM)**

- SLNL (CAP 100): +3%

NEWS 1.5 NEGATIVE	Company-Specific News	 Announced: 11:25 AM	 Adjusted: 11:35 AM
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NRB AUDIT FLAGS UCL FOR GOVERNANCE CONCERNS

Nepal Rastra Bank (NRB) has issued a formal notice to Unity Credit Limited (UCL) following a routine audit that uncovered concerns over related-party lending and weak internal controls.

NRB has directed UCL to submit a corrective action plan within 30 days.

The company's Board has convened an emergency meeting.

Analysts warn of potential penalties and restrictions on new lending.

UCL management states: "We are cooperating fully with regulators."

Market Impact: NEGATIVE for UCL

 **PRICE ADJUSTMENT (11:35 AM)**

- UCL (CAP 400): -10%

TRADING SESSION

2

11:35 AM – 12:15
PM

NEWS 2.1 POSITIVE	Company-Specific News	 Announced: 11:45 AM	 Adjusted: 11:55 AM
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STBL REPORTS STELLAR Q3 RESULTS

Summit Trust Bank Limited (STBL) announces:

- Net profit up 47% YoY to Rs 245 crores
- NPA ratio drops to 0.8% (industry best)
- Declares 12% cash dividend

Key Highlights:

- Loan book grew 23%
- Deposit base increased 18%
- Digital transaction volume doubled

Best quarterly performance in company history.

Market Impact: HIGHLY POSITIVE for STBL

 **PRICE
ADJUSTMENT (11:55 AM)**

• STBL (CAP 300):
+8%

NEWS 2.2 NEGATIVE	Company-Specific News	 Announced: 11:50 AM	 Adjusted: 12:00 PM
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GPLH ENVIRONMENTAL CLEARANCE REVOKED

GreenPeak Hydropower Limited (GPLH) faces a major setback as the Department of Environment revokes its construction clearance for the Upper Mechi Phase-II project following a community protest report.

The 75 MW project had been expected to come online in 2027.

GPLH says it will appeal the decision; legal process may take 6+ months.

Revenue impact: Rs 180 crore annually once resolved. Investors brace for project delays and cost overruns.

Market Impact: NEGATIVE for GPLH

 **PRICE**
ADJUSTMENT (12:00 PM)

• GPLH (CAP 400):
-10%

NEWS 2.3 SPECIAL	Merger Announcement ★	 Announced: 12:00 PM	 Adjusted: 12:10 PM
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BREAKING: NEPAL RASTRA BANK MERGER DIRECTIVE

Nepal Rastra Bank (NRB) has mandated consolidation of the financial sector. All Finance Companies must merge with Commercial Banks within 6 months.

Merger partners to be announced within 30 days. Industry expects stronger banking sector post-consolidation.

Affected Companies:

Commercial Banks: HUBL, EPBL, STBL, LCBL

Finance Companies: AFL, NCL, HFL, UCL

Follow-up at 12:30 PM: NRB reveals preliminary merger pairings:

- HUBL to acquire NCL
- EPBL to acquire AFL
- STBL to acquire HFL
- LCBL to acquire UCL

PRICE ADJUSTMENT (12:10 PM)

- Commercial Banks: +3% to +8% (by market cap) — acquiring entities
- Finance Companies: +5% to +10% (by market cap) — acquisition targets

NEWS 2.4 NEUTRAL	Sector Reaction / Analyst Note	 Announced: 12:10 PM	 Adjusted: No adjustment
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ANALYSTS COMMENT ON BANK-FINANCE MERGER

Leading brokerage houses issue research notes:

"Merger will create stronger banking entities with improved capital ratios and lending capacity. Short-term integration challenges are offset by long-term strategic benefits."

Recommendation: Accumulate banking stocks on dips.

Small-cap finance companies expected to receive premium valuations in merger negotiations.

No additional price change — already adjusted with merger news.

PRICE ADJUSTMENT

No additional price change — markets already absorbed merger news (2.3).

Participants may use analyst guidance to plan buy/sell strategy.

NEWS 2.5 POSITIVE	Company-Specific News	 Announced: 12:08 PM	 Adjusted: 12:18 PM
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ATML SIGNS EXPORT DEAL WITH INDIAN AGRI-GIANT

AgroTech Manufacturing Limited (ATML) announces a Rs 320 crore export agreement with Mahindra Agri Solutions (India) to supply specialty fertilizer and agri-input products over 2 years.

Key Details:

- Annual export revenue: ~Rs 160 crore
- First shipment expected Q1 2027
- Deal adds 28% to ATML's current revenue base

MD states: "This is a landmark deal for Nepal's manufacturing exports."

Market Impact: HIGHLY POSITIVE for ATML

 **PRICE ADJUSTMENT (12:18 PM)**

- ATML (CAP 400): +10%

TRADING SESSION

3

12:35 PM – 1:20 PM

NEWS 3.1 SPECIAL	Merger Announcement ★	 Announced: 12:50 PM	 Adjusted: 1:00 PM
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BREAKING: BEEMA SAMITI COMPOSITE INSURANCE POLICY

Insurance Board of Nepal (Beema Samiti) announces new policy encouraging formation of composite insurance companies offering both Life and General insurance.

Voluntary mergers between Life and Non-Life insurers will receive expedited regulatory approval and tax benefits.

Affected Companies:

Life Insurance: SLNL, ELAL, PLIL, HFLL

Non-Life Insurance: SGIL, GGIL, ARIL, SPIL

PRICE ADJUSTMENT (1:00 PM)

All insurance stocks: +3% to +10% (based on market cap)

- Stronger companies: Higher gains

- Weaker companies: Moderate gains

Rationale: Economies of scale + diversification benefits

NEWS 3.2 NEGATIVE	Company-Specific News	 Announced: 12:55 PM	 Adjusted: 1:05 PM
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ELAL FRAUD ALLEGATIONS SURFACE — INTERNAL INVESTIGATION LAUNCHED

Everest Life Assurance Limited (ELAL) has announced an internal investigation following whistleblower allegations of fraudulent policy surrender payouts and inflated claims in its rural branches.

Estimated exposure: Rs 40–60 crore in potentially fraudulent claims.

Beema Samiti has been notified; regulatory review underway.

ELAL management states: "We take these allegations seriously and are cooperating fully with all regulators."

Market Impact: NEGATIVE for ELAL (offsets merger boost partially)

PRICE ADJUSTMENT (1:05 PM)

- ELAL (CAP 200): -5%

Note: Net effect may be muted if merger boost already applied.

NEWS 3.3 POSITIVE	Company-Specific News	 Announced: 1:02 PM	 Adjusted: 1:12 PM
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NSWL SECURES MAJOR INFRASTRUCTURE CONTRACT

Nepal SteelWorks Limited (NSWL) wins Rs 850 crore contract to supply steel for the Kathmandu-Terai Fast Track Road Project.

Contract details:

- Duration: 3 years
- Guaranteed volumes: 45,000 MT annually
- Premium pricing due to quality specifications

MD: "This is our largest single contract and will boost revenue by 30% while improving plant capacity utilization to near 95%."

Market Impact: HIGHLY POSITIVE for NSWL

 **PRICE ADJUSTMENT (1:12 PM)**

- NSWL (CAP 300): +8%

NEWS 3.4 POSITIVE	Company-Specific News	 Announced: 1:08 PM	 Adjusted: 1:18 PM
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EHGL PARTNERS WITH RADISSON HOTEL GROUP

Everest Hospitality Group Limited (EHGL) signs a franchise and management agreement with Radisson Hotel Group to co-brand and manage three of its Kathmandu properties under the Radisson Blu and Park Inn flags.

Expected Benefits:

- Access to Radisson's global loyalty programme (20M+ members)
- 35–40% projected increase in foreign tourist occupancy
- Revenue per available room (RevPAR) to rise ~25%

Market Impact: HIGHLY POSITIVE for EHGL

 **PRICE ADJUSTMENT (1:18 PM)**

- EHGL (CAP 200): +5%

NEWS 3.5 POSITIVE	Macroeconomic News	 Announced: 1:14 PM	 Adjusted: 1:24 PM
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IMF UPGRADES NEPAL GDP GROWTH FORECAST

The International Monetary Fund (IMF) has revised Nepal's GDP growth forecast upward from 4.1% to 5.3% for FY 2025-26, citing improved remittance inflows, strong hydropower output, and recovering tourism.

IMF Mission Chief: "Nepal's fundamentals have strengthened notably. Inflation is well-contained and the fiscal deficit is on a downward trajectory. The outlook is broadly positive."

Market Sentiment: Broadly BULLISH — improved macro backdrop supports higher equity valuations across sectors.

Affected: All stocks (varying by market cap)

PRICE ADJUSTMENT (1:24 PM)

Moderate market-wide positive effect:

- CAP 100: +1%
- CAP 200: +2%
- CAP 300: +3%
- CAP 400: +4%

TRADING SESSION

4

1:25 PM – 2:05 PM

NEWS 4.1 NEGATIVE	Company-Specific News	 Announced: 1:30 PM	 Adjusted: 1:40 PM
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LCBL REPORTS SURGE IN NON-PERFORMING LOANS

Lumbini Commercial Bank Limited (LCBL) discloses that its NPA ratio has climbed to 5.8% in Q3, up from 3.2% in the previous quarter, driven by defaults in its SME and real estate loan portfolio.

NRB has placed LCBL under enhanced supervisory monitoring.
Dividend payout has been deferred pending capital restoration.

Management: "We are implementing a structured recovery plan.
We remain adequately capitalised above regulatory minimums."

Market Impact: NEGATIVE for LCBL

 **PRICE
ADJUSTMENT (1:40
PM)**

- LCBL (CAP 200):
-5%

NEWS 4.2 POSITIVE	Macroeconomic News	 Announced: 1:35 PM	 Adjusted: 1:45 PM
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NEPAL RASTRA BANK CUTS INTEREST RATES

In a surprise move, NRB reduces policy rates:

- Repo rate: 6.5% → 6.0% (-0.5%)
- Bank rate: 7.0% → 6.5% (-0.5%)

NRB Statement: "Inflation is under control at 5.8%. Economic growth needs support. Lower rates will stimulate lending and investment."

Impact: Positive for entire market, especially:

- Banks (higher lending volumes)
- Manufacturing (cheaper credit)

Market-wide sentiment: BULLISH

 **PRICE ADJUSTMENT (1:45
PM) — MARKET-WIDE**

ALL stocks rise based on market cap:

- CAP 100: +3%
- CAP 200: +5%
- CAP 300: +8%
- CAP 400: +10%

NEWS 4.3 POSITIVE	Sector-Wide News	 Announced: 1:42 PM	 Adjusted: 1:52 PM
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TOURISM SECTOR RECORDS ALL-TIME HIGH ARRIVALS

Nepal Tourism Board reports record-breaking numbers:

- Tourist arrivals up 35% last quarter
- Hotel occupancy hits 82% (highest in 5 years)
- Average tourist spending up 18%

Government announces:

- Tourism infrastructure fund: Rs 200 crores
- Visa-free entry extended to 20 additional countries
- 2027 declared Nepal Tourism Year; target: 2 million arrivals

Affected Companies: HGHL, EHGL, NHRL, STTL

Market Impact: POSITIVE for Hotel & Tourism Sector

 **PRICE ADJUSTMENT (1:52 PM)**

- HGHL (CAP 300):
+8%
- EHGL (CAP 200):
+5%
- NHRL (CAP 400):
+10%
- STTL (CAP 400):
+10%

NEWS 4.4 POSITIVE	Company-Specific News	 Announced: 1:48 PM	 Adjusted: 1:58 PM
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EPL ANNOUNCES 30% BONUS SHARE ISSUANCE

Everest Polymers Limited (EPL) announces a 30:100 bonus share issuance (30 bonus shares per 100 held), funded from retained earnings and share premium reserves.

Record Date: Within 45 days subject to SEBON approval.

Rationale: Management confident in strong long-term earnings.

Bonus shares signal financial health and reward long-term shareholders.

Analysts call this a strong confidence vote from management.

Market Impact: HIGHLY POSITIVE for EPL

 PRICE ADJUSTMENT (1:58 PM)

- EPL (CAP 100): +3%

Note: Actual price dilution happens post-bonus issuance; immediate market reaction is typically positive on announcement.

NEWS 4.5 POSITIVE	Sector-Wide News	 Announced: 1:54 PM	 Adjusted: 2:04 PM
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POWER DEMAND SURGE — HYDROPOWER COMPANIES TO BENEFIT

Nepal Electricity Authority (NEA) announces that peak electricity demand has crossed 2,100 MW for the first time, driven by rapid industrial expansion and EV adoption.

NEA is signing additional long-term Power Purchase Agreements (PPAs) with private hydropower producers at enhanced rates:

- Enhanced rate: Rs 8.50 per unit (up from Rs 7.10)
- New contracts to run 25 years

Affected Companies: UCHL, RFEL, GPHL, HSPL
Market Impact: POSITIVE for Hydropower Sector

⚡ PRICE ADJUSTMENT (2:04 PM)

- UCHL (CAP 100): +3%
- RFEL (CAP 300): +8%
- GPHL (CAP 400): +10% (partially offsets earlier revocation news)
- HSPL (CAP 300): +8%

End of News Events — All 4 Sessions | Total: 20 Events